

9 Research initially identified fifteen traded clusters for the economic region. Following further data releases and updates, the clusters assessment revealed ten traded clusters, two localized clusters, and four opportunity clusters (shown above). Opportunity clusters represent those industries which do not currently exist within our economic landscape but for which we have a strong concentration of workers and suppliers.¹⁰ To demonstrate the inter-related nature of clusters and industries - automotive and advanced manufacturing are two of the largest clusters in the region, both of which caused the metals and plastics manufacturing industries to grow. These four industries have spurred the growth of the transportation, distribution & logistics industry. While downstream, chemical manufacturing has also grown in the region, the advent and increase of advanced manufacturing has spurred growth in this cluster and presents opportunities for further growth. The presence of both industrial and occupational specializations in these clusters lends itself well to create a medical device manufacturing cluster in Middle Tennessee that could rival the Memphis region. This also gives rise to opportunities for industries engaged in production technology. The complementary nature of the occupations and skills that make up these industries both in the economic region and among our peer communities allow policymakers and business leaders to consider workforce development efforts that ensure secondary operations for industries. These secondary operations would allow industries to retool or shift their operations to complementary operations that allow them to respond to market disruptions, recessions, or events such as war or global pandemics that alter or disrupt supply lines.¹¹ The economic region also continues to perform well in business services. Davidson and Williamson Counties have seen increases in business services involving the management of companies or headquarters. Additionally, insurance and captive insurance firms (companies that manage risk for other companies or their own subsidiaries) have seen significant growth thanks in part to a strong push by the State of Tennessee to tailor a regulatory framework more conducive to the growth and recruitment of captive firms.¹² The increase of the local health-related cluster has also underpinned the growth in insurance related industries. Between these business clusters and the insurance industries, the opportunity exists to develop a highly specialized information technology cluster. To determine these clusters, and map out the top occupational specializations for each, the North American Industry Classification System was utilized to align to each cluster with its respective growth sector. The table below identifies the industries having the strongest specializations in terms of industry and occupational specialization. Some clusters and industries were excluded as they represent lower regional wages¹³, required unskilled workers and were highly susceptible to economic disruptions. Some industries such as video production were combined into a complementary industry (i.e. the music industry). ¹⁰ U.S. Cluster Mapping, EMSI, JobsEQ, The Research Center-NACC ¹¹ IBID ¹² Tennessee Department of Commerce and Insurance, The Research Center - NACC ¹³ The study considers wages in terms of the Brookings Institution discussion of Opportunity Jobs as well as MIT's wage calculator that estimates for a family of 4 (2 adults, 2 children) each adult must earn at least \$15.24 in the Nashville MSA to maintain a standard of living that provides for their basic needs. In the Clarksville MSA this amount is \$14.54.